

Income-driven repayment plans are changing: What borrowers need to know in 2026

By [Kaydee Ambas, CFEI®](#) | Published on April 20, 2026

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Federal student loan repayment options are evolving—and the changes could affect how you manage your debt in the years ahead.

As part of the [One Big Beautiful Bill](#), several income-driven repayment (IDR) plans are expected to be phased out and replaced with a new option. If you're currently enrolled in an IDR plan—or considering one—it's important to understand what's changing and how it may impact your repayment strategy.

In this guide, we'll explain which plans are going away, what's replacing them, and how to decide what to do next.

What is an income-driven repayment plan?

[Income-driven repayment \(IDR\) plans](#) are federal student loan repayment options that base your monthly payment on your income and family size. These plans are designed to make payments more manageable—especially early in your career when income may be lower.

Common IDR plans include:

- Income-Based Repayment (IBR)
- Pay As You Earn (PAYE)
- Income-Contingent Repayment (ICR)

These plans can also provide a path to loan forgiveness after a set number of qualifying payments, depending on the program.

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What's changing with IDR plans?

Federal repayment programs are being restructured, with fewer plans expected to be available over time. While multiple IDR options exist today, upcoming changes will simplify the system and introduce a new plan for borrowers.

In general:

- Some existing IDR plans will stop accepting new borrowers
- Certain plans will be phased out entirely over time
- A new repayment plan will become the primary option for many borrowers starting in 2026

Timeline: When are IDR plans going away?

While details may continue to evolve, here's a general timeline of expected changes:

- **Now through June 30, 2026:** Borrowers can continue to enroll in existing IDR plans, including PAYE and ICR (if eligible)
- **July 1, 2026:**
 - PAYE and ICR are expected to stop accepting new enrollments
 - A new income-driven option (often referred to as a Repayment Assistance Plan, or RAP) is expected to launch
- **July 1, 2028:**
 - PAYE and ICR are expected to be fully phased out
 - Borrowers still on these plans may be transitioned to a new plan or to IBR, depending on eligibility

IBR (Income-Based Repayment) is expected to remain available and may become the primary legacy IDR option.

Because policies and implementation details can evolve, it's important to stay up to date through official sources like studentaid.gov.

*Information is accurate as of 4/20/2026.

Which IDR plans are going away—and which are staying?

Here's a clearer breakdown of how current plans are expected to change:

- **IBR (Income-Based Repayment):** Staying and expanding
- **PAYE (Pay As You Earn):** Ends for new borrowers July 1, 2026; phased out by July 1, 2028
- **ICR (Income-Contingent Repayment):** Ends for new borrowers July 1, 2026; phased out by July 1, 2028
- **SAVE Plan:** Currently blocked and expected to be discontinued
- **RAP (new plan):** Expected to launch July 1, 2026 and become the primary IDR option

Over time, most borrowers will likely choose between IBR and the new RAP structure.

What is the new repayment plan?

A new income-driven repayment option—often referred to as a [Repayment Assistance Plan \(RAP\)](#)—is expected to become available starting in 2026.

While details may evolve, the goal of this plan is to simplify repayment by offering a single, income-based option for most borrowers.

For borrowers entering repayment after 2026, this new plan may become the primary income-driven option available.

What these changes mean for borrowers

The impact of these changes depends on your financial situation and career path.

If you're early in your career: Income-driven repayment may still help keep payments manageable while your income is lower.

If you expect a higher income over time: Your monthly payments under IDR may increase significantly as your earnings grow.

If you're pursuing Public Service Loan Forgiveness (PSLF): IDR plans will likely remain an important part of your strategy, since PSLF requires qualifying payments under eligible repayment plans.

When does income-driven repayment still make sense?

IDR plans may be a strong option if you:

- Have a lower income relative to your debt
- Are pursuing loan forgiveness programs like PSLF
- Need flexibility in your monthly payments

However, IDR plans may not always be the most cost-effective long-term solution—especially for borrowers whose income increases significantly over time.

When to consider alternatives to IDR

As your income grows, you may want to explore other strategies for managing your student loan debt.

[Refinancing](#)¹ is one option that may help you:

- Lower your interest rate
- Reduce the total cost of your loan over time
- Simplify repayment with a single monthly payment

[Refinancing federal loans](#) into private loans means giving up access to federal protections, so it's important to weigh the trade-offs carefully. At the same time, many private lenders—including Earnest—offer their own forms of support, such as hardship forbearance and flexible repayment options, which can help borrowers manage payments if their financial situation changes.

What should you do now?

If you're currently on—or considering—an IDR plan, here are a few steps to take:

- Review your current repayment plan and terms
- Stay informed about upcoming policy changes
- Consider your long-term career and income trajectory
- Compare repayment strategies, including refinancing if appropriate

Your optimal approach may change over time, especially as your income grows or your goals evolve.

FAQ: IDR plan changes

Are income-driven repayment plans going away?

Some IDR plans are being phased out. PAYE and ICR are expected to stop accepting new borrowers on July 1, 2026, and be fully phased out by July 1, 2028. IBR is expected to remain available, and a new plan (RAP) is expected to launch in 2026.

When do PAYE and ICR end?

PAYE and ICR are expected to stop accepting new enrollments on July 1, 2026. They are expected to be fully phased out by July 1, 2028.

What happens if I'm already on PAYE or ICR?

If you're already enrolled, you may be able to stay on your plan for a period of time. However, by 2028, borrowers may be transitioned to a new plan like RAP or to IBR, depending on eligibility.

Will IDR still be available after 2026?

Yes. While some plans are going away, income-driven repayment will still exist in a more streamlined form. IBR is expected to remain, and RAP is expected to become the primary option for many borrowers.

Can I still enroll in PAYE or ICR?

These plans are currently available if you're eligible, but enrollment is expected to close on July 1, 2026.

What is replacing current IDR plans?

A new income-driven option, often referred to as the Repayment Assistance Plan (RAP), is expected to launch on July 1, 2026 and gradually replace most existing plans.

Is refinancing better than IDR?

It depends on your goals. IDR may offer flexibility and forgiveness options, while refinancing may help reduce interest costs for some borrowers—especially those with [higher incomes](#).